

not a healthy practice and such distributors tend to lose customers over time.

Most of the Indian OEMs are now seeking their supplies from overseas distributors based in Europe and the US where distributors are financially strong and so stock a wide range of the latest high-end components and have a technically sound sales and support team. They have strict quality control to evaluate their suppliers and follow good business ethics. The law of their countries is also strict, preventing them from adopting any unethical business practice.

Impact of new government policy

The government has come up with a new policy in an effort to arrest the slowdown in electronic products and components manufacture in India. But how much it will help to reduce imports is doubtful.

Says Shah, "People do compare China with India, but according to me there is no comparison. China has already

invested huge money in all the facilities. Earlier, they had both the domestic as well as international demand. That demand has gone down now because of slowdown. With surplus facilities, they have started slashing the price.

"Earlier, if the product delivery time from China was four weeks, today, the same product can be procured within a week's time. Earlier, we used to call and request them to deliver in time. Today, they are the people who call us. So times have changed and they also want business. Even the number of Chinese supplies coming to India has increased. They understand that India is a developing country, insulated from external factors related to manufacturing. So India is a focus area for them.

"Indian manufacturers, on the other hand, can't match the scale of Chinese counterparts. They can't match the component costing that Chinese manufacturers offer today. Their manufacturing facilities are completely depreciated. Chinese manufacturers

have already recovered their money, whereas the people investing in India, e.g., a capacitor manufacturer, can't achieve the volume and bank financing at attractive rates."

Key to survival

Cutting-edge technology, deep pockets to finance or credit the customer, competitive pricing and leveraging on the Web's functionality are the keys to survival in this business.

"The needs of electronics engineers and purchasing professionals are changing. The project timelines are shorter and there is greater time-to-market pressure. Electronic design engineers want better access to products and content, and the Web is clearly becoming customers' channel of choice. The Web has probably made the most significant difference to our business, certainly to our ability to react at speed to customers' needs," concludes Saxena. ●

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